# Limited Partner Document for Silk Road Ventures

**Contribution Percentages**

| **Name** | **Student Number** | **Contribution** |
|---|---|---|
| **Karim Abbas** | 25097474 | **14.29%** |
| **Alexandros Skoteiniadis** | 25215707 | **14.28%** |
| **Vasileios Tsaousis** | 21008120 | **14.28%** |
| **Osama Ashqar** | 25221182 | **14.28%** |
| **Turgut Mammadli** | 25200380 | **14.28%** |
| **Sami Al Eisa** | 25133680 | **14.28%** |
| **Shreyas Bindal** | 25148911 | **14.28%** |

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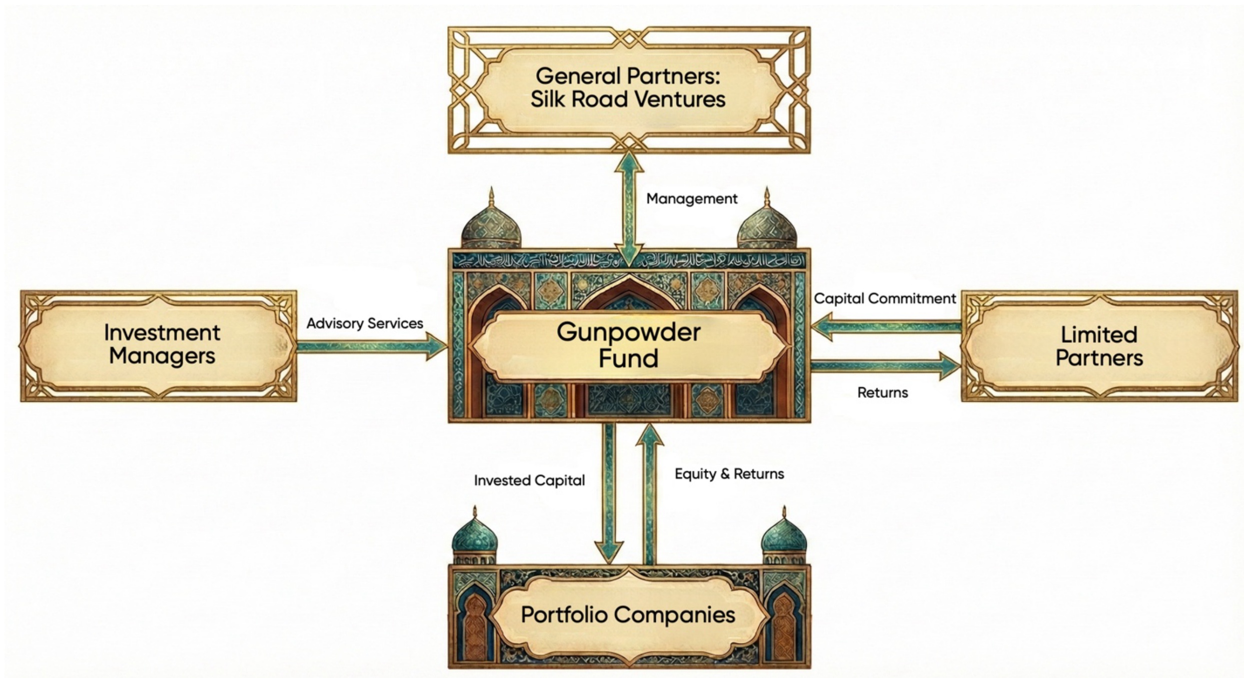
# 1. Fund Overview and Team

## Fund Structure




## Fund Team

**Karim Abbas: Managing Partner**

Karim Abbas is an American Lebanese national with a bachelor's degree in Banking and Finance from Leeds University. He has previous working experience at Standard Chartered Bank as a Treasury Markets intern. During his time at SCB, he worked on standardizing capital adequacy and liquidity models for the MENA region. He also has extensive volunteer experience as the lead logistics coordinator for Campaign, a surgical campaign based in Kenya. He is also the co-founder and CEO of Nuru Technology, a MedTech focused on creating affordable prosthetics for emerging markets.

**Shreyas Bindal: CFO & Partner**

Shreyas Bindal is an Indian national with a bachelor's degree from Queen's University Belfast in Finance. Shreyas has previously worked as an intern at PwC on the M&A desk, where he assisted with business development, researched new M&A deals, and analyzed financial statements. He has a passion for risk, developed during his time at Waystone, where he worked on the investment risk team. Shreyas is an expert in financial modeling and valuations, with a keen eye for the particulars. Shreyas has a passion for alternative financing and personal budgeting technologies.

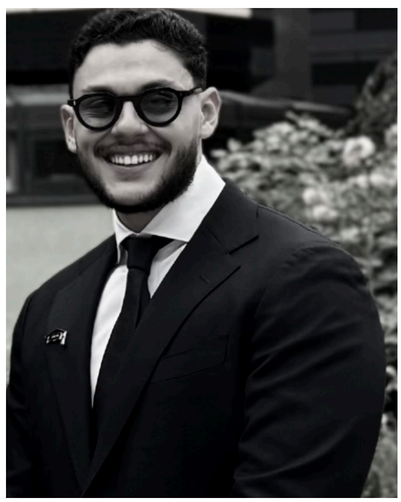
**Sami Al Eisa: CTO & Partner**

Sami Al Eisa is a Kuwaiti national with a bachelor's degree from Gulf University for Science and Technology in Business Administration and Management. He also carries a master's in international business from SOAS University of London. Sami is an entrepreneur who has previously founded Pistachio, a technology firm. Most recently, he was the CEO of Daring Agility, a platform designed to boost employee productivity. Beyond his time as an entrepreneur, he has worked at Agility, a Kuwaiti-based Venture Capital fund.

**Vasileios Tsaousis**: **Investor Relations Professional & Partner**

Vasileios Tsaousis is a Greek National with a bachelor's degree from UCL in History, Politics and Economics and a master's degree in management from the London School of Economics and Political Science. He has previous work experience in NATO, where he helped with reporting on NATO Committees, including the North Atlantic Council. He has experience in Treasury from his internship at Riyadh Bank. He has experience with risk from his time at Marsh McLennan. On the consulting side, he worked as an LSE strategy Consultant at Deichmann. His latest work experience was at Centrus as an Investment banking intern, advising on the M&A desk.

**Osama Ashqar**: **Chief Operating Officer**



Osama Ashqar is a Saudi National with a bachelor's in accounting and finance from Queen Mary University of London. He has prior experience as an analyst in the Intelligent Solutions Discovery (ISD) team. He has extensive experience in valuations and deep market research. During his time in ISD, he helped create detailed reports on new clinical innovations and conducted data analysis of trial outcomes. Beyond working at ISD, Osama manages an independent portfolio comprising crypto and other digital assets.

**Turgut Mammadli**: **Analyst**

Turgut Mammadli is an Azerbaijani national with a bachelor's degree in finance from ADA University. He has extensive experience as an investment intern at the SOFAZ, where he conducted daily oil market analysis, prepared reports, and conducted fixed-income analysis. Turgut also has prior experience as an Auditor at Dövlət Vergi Xidməti, where he assisted with state tax policy. He has also worked at the Sabah Investment Group, where he handled multiple projects, including the Sea Breeze Marina Village, a significant development project in Azerbaijan. Turgut has previous experience investing in cryptocurrencies and has a keen interest in fintech infrastructure.

**Alexandros Skoteinadis: Analyst**

Alexandros Skoteinadis is a Greek National with a bachelor's from Bayes Business School in Business, Management with Finance. He has prior work experience working as a financial markets intern at Piraeus. During his time at Piraeus, he worked on the derivatives desk, assisting with options and equity trading. Alex has also worked in Oceanic Investment Management, a hedge fund. During his time at the fund, he helped monitor the fund's daily P&L and identified long/short hedge opportunities. Alex has a keen interest in alternative trading systems and payment technologies in the shipping industry.

## Fund Management and Governance Structure

Our venture fund is structured as a traditional UK limited partnership, with the General Partners (GP) managing the fund on behalf of the Limited Partner (LP) investors, in which the limited partners do not become directly involved in the fund's management.

The fund's principal office will be based in London, UK, and will therefore operate under the Financial Conduct Authority (FCA) framework for alternative investment funds (Business Bank, 2025). We aim to register with the FCA via its Connect system, having all the information necessary to ensure our application is filed (FCA, 2016). This included a detailed business plan outlining our strategy, details of governance arrangements, financial projections, a program of operations, and policies covering anti-money laundering, risk management, and conflicts of interest (BVCA, 2025). Notably, we aim to vet our compliance policies during our authorization, placing full accountability on individuals in Senior Management Functions to ensure robust compliance oversight. Our Managing Partner will also act as our Chief Executive (SMF1), and our Operations Officer will act as both our Compliance Officer (SMF16) and a Money Laundering Officer (SMF17) in line with the FCA's Senior Managers & Certification Regime (BVCA, 2025).

Our fund is managed by a tight-knit group of 7 professionals, each with clearly defined and segregated roles that unite to cover all critical functions of a venture firm. The list is displayed below:

- **Mr. Karim Abbas** will serve as the **Managing Partner**- Mr.Abbas will lead the fund's core strategy and will chair the Investment Committee, ensuring that the committee fulfils its mandate and provides objective recommendations.

- **Mr. Sami Aleisa** and **Mr. Shreyas Bindal** will serve as the **Investment Partners-** Mr.Aleisa and Mr.Bindal will source deals, conduct due diligence and present investment opportunities to the committee.

- **Mr. Turgut Mammadli** and **Mr. Alexandros Skoteinadis** will serve as the **Analysts-** Mr. Mammadli and Mr. Skoteiniadis will perform market research, financial modelling and aid in preparing investment materials.

- **Mr Osama Ashqar** will serve as the **Operations Manager-** Mr Ashqar will oversee the fund and its administration, its finances, and liaise with external fund administrators and auditors to ensure accurate and compliant reporting.

- **Mr. Vasileios Tsaousis** will serve as the **Investor Relations Professional-** Mr. Tsaousis will communicate with LPs, prepare quarterly reports to distribute to LPs and handle any new fundraising inquiries.

Decisions on our investments are made through an Investment Committee comprising the Managing Partner and our two Investment Partners. Our Operations Manager (Compliance Officer) will also be present, but in an advisory capacity. Deals are initially sourced and screened by an assigned partner and analyst and then debated at IC meetings. Decisions are made by majority vote, with the Managing Partner having the right to veto. Our committee structure ensures that we have experienced professionals overseeing our investment decisions and adds a critical regulatory and compliance advisory perspective through our Compliance Officer. We intend to document all IC discussions to leave an appropriate audit trail.

In line with the FCA guidelines, we have also implemented robust compliance protocols. We aim to undergo annual independent audits of our financial statements and perform quarterly portfolio reviews to monitor risk and exposure. Through our framework, we will also hold monthly risk management meetings where we review portfolio company performance, liquidity needs, and any pressing regulatory issues that may have arisen. We have implemented comprehensive anti-money laundering and cybersecurity policies given the sensitive financial data we handle. Additionally, each of the 7 team members has formally acknowledged their SMF duties, outlining clear individual accountability for compliance mishaps.

Overall, our governance structure is robustly designed to align our managers' incentives with our LPs' interests. We have insured this through a compensation model of a 2% management fee and 20% carried interest, in addition to our efforts to maintain continuous transparency between the two parties. This structure is highly focused on ensuring we continue to operate with institutional-grade professionalism, oversight, and control, despite our size.

## 2. Fund Investment Strategy and Selection Criteria

The gunpower fund primarily focuses on investing in pre-seed and Series A/Seed; our AIF spans three infrastructure-driven aspects. These aspects include B2B payments and settlement, integrated financial access technology, SMEs credit, liquidity, and solvency, as well as risk transmission technologies. These industries are among the most active and influential Fintech sectors considering a broader financing recession. The ongoing investment trend in real-time payments and embedded finance over 2024-25 is highlighted in KPMG's Fintech forecast. FinTechs are gradually overtaking banks worldwide, which remain the primary driver of revenue. The strategy is to invest in fundamental financial infrastructure that underpins revenue generation across consumers, SMEs, and businesses. This is reflected in our portfolio, which consists of Mesta, Receive, and Bondaval.

## Scorecard

| Metric | | Weight | Score |
|---|---|---|---|
| **Financial Health** | | **12%** | |
| | YoY Revenue Growth | | |
| | Price to EBITDA | | |
| | Cash Runway | | |
| **Customer Metrics/ Unit Economics** | | **15%** | |
| | Net Revenue Retention | | |
| | Lifetime value/Customer Acquisition Costs | | |
| | Growth in Earnings | | |
| | Customer Retention Rate | | |
| **Operational and Team Metrics** | | **20%** | |
| | Team Background and Experience | | |
| | Knowledge of Managers and backgrounds | | |
| | Management Alignment with fund expectations | | |
| | Patent Count/Quality | | |
| **Risk and Compliance** | | **10%** | |
| | Fraud and Detection | | |
| | Concentration Risk | | |
| | Data Protection Metrics | | |
| | Regulatory Compliance | | |
| **Growth and Scalability** | | **18%** | |
| | Rule of 40 | | |
| | Scaling Capability | | |
| | Serviceable Addressable Market | | |
| | Market Share | | |
| **Exit and Value Creation** | | **10%** | |
| | IRR/MOIC | | |
| | Exit Channels | | |
| | Expected TVPI | | |
| **Holy Grail Metrics** | | **15%** | |
| | Switch Cost Index | | |
| | Platform Dependence | | |
| | Data Network/Pool | | |
| | Ecosystem Positioning | | |
| **SUM** | | **100%** | |

## 3. Target Portfolio: Summary

### Bondaval

*Product and Solution:*

Bondaval is a London-based fintech firm that modernizes B2B credit security by replacing traditional bank guarantees and trade credit insurance with microbonds (Bondaval, 2025). Microbonds are a proprietary, tech-enabled form of credit guarantee. Bondaval's solution focuses on traditional credit protection, such as bank guarantees and LOCs (Bondaval, 2025). Traditional credit protection is slow, expensive, and requires high collateral. Bondaval addresses that by providing a fully collateral-free financial instrument that gives suppliers assured payment while freeing up working capital for buyers (Bondaval, 2025). Bondaval's microbonds are issued in minutes and don't require collateral. They are cost-effective compared to bank guarantees (Bondaval, 2025).

*Business Model:*

Bondaval operates as a B2B SaaS-enabled guarantee model with a variety of revenue streams (Bondaval, 2025). Firstly, Microbond premiums, firms pay a fee to issue Microbonds that secure their credit exposure. Secondly, their SaaS platform fees contribute to their revenue streams as enterprises pay recurring fees for access to Bondaval's underwriting platform. Finally, Bondaval, along with insurance and capital providers, to share risk and scale issuance (Bondaval, 2025). They are positioning themselves as an

efficient and flexible fintech alternative to traditional credit security lines.

*Funding history and investors:*

<u>Seed Round 2021:</u> $7 million led by Octopus Ventures (Bondaval, 2025). Participants in the seed round were also Insurtech gateway, TrueSight Ventures, Expa, and angel investors.

Series A 2022: $15 million led by Talis Capital. Other investors were Octopus Ventures, Expa, FJ Labs, Insurtech Gateway, TrueSight Ventures, and Broadhaven Ventures. This round brought Bondaval's total funding to $20 million (TechCrunch, 2022). Series A funding was used to expand globally and especially in North America.

Overall, the funding that Bondaval raised was used to scale operations in the UK, Europe, and the USA. In addition, Bondaval has current partnerships with major insurers such as Arch and Markel to support their underwriting capacity.

## Mesta

### *Product and Solution:*

Mesta is a fintech start-up that offers a global cross-border payments network, combining traditional payment rails with blockchain-powered stablecoin rails (Mesta, 2025). The problem Mesta solves arises from the high costs and slow settlement times that cross-border payments face. Fintechs need a way to send money globally that balances compliance and reliability with speed and cost-efficiency (stablecoins). This is where Mesta comes into play. The solution provided by Mesta includes a hybrid payment structure (Mesta, 2025). It combines fiat rails to comply with regulations and stablecoin rails for speed and cost efficiency (Mesta, 2025). Through its API platform, Mesta enables users to execute global payments in multiple currencies and stablecoins. According to Mesta, its hybrid network benefits users by saving 50% on transaction fees compared to traditional cross-border payment structures (Mesta, 2025). The platform supports 40+ currencies across 100+ countries (Mesta, 2025).

### *Business Model:*

Mesta's core value proposition combines fiat and blockchain rails to enable low-cost, real-time cross-border payments (Mesta, 2025). It is an API-first model that enables clients (fintechs, wallets, enterprises) to quickly integrate Mesta's payment infrastructure into their platforms, making it suitable for scalable, embedded finance use cases (FintechFutures, 2025). Mesta earns revenue through transaction fees on its platform (Mesta, 2025). Given the 50% savings it advertises, Mesta's model attracts businesses seeking cost-efficient payments. Mesta serves on a B2B basis from SMEs to large corporates.

### *Funding History and Investors:*

Seed Round 2025: $5.5 million raised led by Village Global and participation from Circle Ventures, Paxos and Western Technology Investment (Financialit, 2025). Existing Investors include Garuda Ventures, Canonical Crypto, Everywhere Ventures, and Inventum Ventures (Financialit, 2025). Pre-Seed Round 2025: $2 million raised led by Garuda Ventures (FintechFutures, 2025). Mesta has raised about $7.5 million to date across its two funding rounds.

## Receive

### *Product and Solution*

Receive is a financial access platform aimed at timely business cash flow management. This is because its focus is to provide access to earned revenue primarily for small and medium enterprises (SMEs). This means they give businesses instant access to money they have already earned, even if the payment has not yet been settled, helping companies receive immediate cash from recent sales receivables (Receive, 2025).

Once a business connects to Receive's sales platform, the company dynamically analyzes all sales data to determine liquidity needs, which the business can then use to spend immediately through a business Mastercard made available through its partnership with Patriot Bank, N.A. (Receive, 2025). The goal is robust, continuous cash flow management, providing businesses with immediate access to working capital that may otherwise be tied up in long payment cycles. Additionally, Receive emphasizes that companies get access to cash they've already earned, with no borrowing, no interest, and no fees, distinguishing it from traditional credit and advance products (Receive, 2025).

### *Business Model*

Receive is an embedded finance solution, meaning it monetizes through partnerships with payment processors, independent sales organizations, and other software platforms, and operates as a value-add service for partners' SME customers. The recently announced collaboration with Titanium Payments, a full-service payment processor, to launch a proprietary Titanium Boost Business Mastercard (PRNewswire, 2025), is an example of its business model in action.

One connected to their system, the business credit card that SME's have access to, which lets them draw on and spend their available revenue, means that Receive also gets income through card transaction interchange fees and a portion of the arrangement fees charged to the payment processor partner.

Because its revenue comes from partnerships rather than traditional underwriting features, interest, and fees, its business model success hinges heavily on the actual payment data services it provides and on how its system can continuously monitor actual sales performance (Ctech, 2025).

### *Funding History and Investors*

Receive underwent a successful US $4 million seed round led by NGVP, bringing their total equity funding to US $7.1 million. In addition to their equity funding, the company has also raised a debt facility of US $15 million, giving the firm immediate liquidity to underwrite payouts (PRNewswire, 2025). Backers of the startup are a mix of venture capital investors, including Blank Ventures, Verissimo Ventures, Insight Partners, Corner Ventures, Clocktower Technology

Ventures and others (Ctech,2025). The startup is led by Ariel Blum, who has prior leadership roles at established players, including Melio, Green Dot, and American Express (Ctech,2025).

## 4. Expected Risks, Exit Strategies, and Return Multiples –

### Fund Risks Table

| Category | Highlighted Risk | Likelihood | Mitigation | Impact |
|---|---|---|---|---|
| **Financial** | Follow-on Funding Risk | Medium | Additional capital available for follow up investments | Low |
| | Overpricing Risk | Medium | Multi-method Valuation Approach | Medium |
| **Commercial** | 1. Market Volatility in Fintech | High | Portfolio diversification | Medium |
| | 2. Early-Stage Failure Rate | High | Founder Support and Monte Carlo Simulations | High |
| **Operational** | 1. Weak Founding Teams | Medium | Deep Team Due Diligence | Low |

| | | | | |
|---|---|---|---|---|
| | 2. Weak Product Market Fit | Medium | CTO-led technical due diligence | High |
| **Regulatory** | 1. Regulation Changes | Medium | Regulatory Sandboxing and Geographic Diversification | Medium |

# Target Fund Returns

We present 3 financial indicators to show our funds' target returns: Net MOIC, Net DPI, and Net IRR. We have chosen a bottom-up portfolio-outcome approach to estimate our fund's target performance metrics. Based on the empirical distribution of VC exits, we assumed that 25% of our portfolio companies will fail, 30% will generate some return (approximately 1.2x), 30% will show strong growth (approximately 4.0x), and 15% will represent outlier performers (approximately 10.0x). This results in a gross MOIC of roughly 4.4x to 4.6x. Our estimated net TVPI will be 3.3x–3.5x after deducting 2% annual management fees and 20% interest. The objective net DPI is projected at about 2.22x, assuming that by the close of the fund, exits will realize about 65% of the overall fund value. Finally, the implied target net IRR will sit at around 22%-25%. These numbers are justified by the fund’s focus on infrastructure, strong institutional partners, and lower retail-app risk. Calculations for our estimated metrics are shown below.

| **Returns** | **Weight** | **MOIC** |
|---|---|---|
| Loss | 25% | 0.0x |

| | | |
|---|---|---|
| Weak | 30% | 1.2x |
| Good | 30% | 4.0x |
| Outliers | 15% | 30.0x |

Gross MOIC = 0 + (30% x 1.2) + (30% x 4) + (15% x 30) = **4.56x**

Carry-on profits + Management fees for 10 years = **25%-30%**

Net MOIC = Gross MOIC x (1 – 25%) = 4.56x x 75% = **3.42x (**target net TVPI 3.3x-3.5x)

Distribution ratio by year 10 = **65%**

Target DPI = 3.42 x 0.65 = **2.22x**

Average exit => 6 years   Net MOIC = **3.42x**

Net IRR = (MOIC)^ (1/n) - 1

Net IRR = (3.42) ^ (1/6) - 1 = **22.7%**

## Expected Exit Multiples for Portfolio Firms

Based on 8–12x projected Year 5 revenue

| **Startup** | **Estimated Exit MOIC** |
|---|---|
| **Receive** | 12x |
| **Bondaval** | 3x-5x |

| | |
|---|---|
| **Mesta** | 12x – 15x |

*Mesta*

**Projected Return Profile:** Mesta represents the high-risk, high-reward component of the portfolio. We are targeting a **12x – 15x MOIC (Multiple on Invested Capital)** over a 5-7 year horizon.

- **Entry Valuation:** ~$27.5M Post-Money (Seed Stage).
- **Target Exit Valuation:** $450M+ (Series C/Exit).
- **The Math:** By capturing just 0.01% of the $150T cross-border B2B payments market, Mesta can reach $45M in annual revenue. Applying a conservative **10x Revenue Multiple** (discounted from current high growth fintech peers trading at >12x) yields a $450M exit value.
- **Exit Strategy:** M&A (Trade Sale) is the primary exit route.
  - **Strategic Acquirers:** Mesta is a prime acquisition target for **Circle** (current investor) to vertically integrate B2B invoicing, or legacy giants like **Visa/Mastercard** seeking instant settlement rails to compete with Swift.
  - *PitchBook Data Support:* PitchBook's proprietary "VC Exit Predictor" assigns Mesta a **68% probability of a successful exit**, with M&A being the dominant outcome.

**Risk 1: Regulatory Uncertainty Risk:** Mesta relies on hybrid stablecoin rails (USDC) for settlement. Stricter US (SEC) or EU (MiCA) regulations on non-bank issuers could freeze their ability to process cross-border payments.

**Mitigation:** We are co-invested with **Circle** and **Paxos** (regulatory leaders), ensuring Mesta stays ahead of compliance curves and adapts its rails immediately.

**Risk 2: Competitive Intensity**. The market is crowded with well-capitalized giants such as **Ripple** (£375M in funding) and **Swift**. Displacing legacy banking infrastructure in risk-averse B2B sectors has extremely high barriers to entry.

**Mitigation:** Mesta avoids direct liquidity wars by integrating into **ERP/Accounting software**, creating a "sticky" SaaS workflow that pure payment rivals lack.

**Risk 3: Technology Adoption Risk:** B2B finance teams have historically been slow to adopt blockchain-adjacent technologies due to trust issues. A failure to seamlessly mask the crypto backend from the user experience will stall adoption.

**Mitigation:** The product is designed as a "Web2 experience" (invoices) with a "Web3 backend," and we have modeled a conservative 18-month adoption ramp to account for market education.

### *Receive*

**Projected Return Profile: Receive** is a medium-risk, high-reward component of the portfolio. We are targeting a **12x MOIC (Multiple on Invested Capital)** over a 5–7-year horizon.

- **Entry Valuation:** ~$15-25M Post-Money (Seed Stage).
- **Target Exit Valuation:** $1.8-4.5B+ (Series C/Exit).
- **Exit Strategy:** IPO (is the primary exit route.

- *PitchBook Data Support:* PitchBook's proprietary "VC Exit Predictor" assigns Mesta a **81% probability of a successful exit**, with M&A being the dominant outcome.

**Risk 1: Third-party dependency risk** is enormous, as their embedded finance model relies on integrating with payment processors for data access and liquidity payouts.

**Mitigation:** They need to diversify across multiple payment processors and implement failover protocols to maximize uptime. They can also negotiate long-term contracts with termination clauses to maintain good links.

**Risk 2: Regulatory Risk** will be high, as their real-time liquidity technology for unsettled receivables may attract regulatory scrutiny. The embedded finance regulations are still catching up, and they could impose licensing or capital requirements.

**Mitigation:** They can pre-emptively pursue getting a PSP license in their key markets and integrate Regtech into their platform to ensure compliance. They will also need to conduct regulatory stress testing to protect themselves.

**Risk 3: Data Protection** will be a significant concern, as SMEs will be exposed to cyber threats and payment fraud. Weak controls will compound the impacts of possible data breaches.

**Mitigation:** They will need to employ real-time fraud detection that analyzes sale patterns against their existing internal benchmarks. They can also secure cyber insurance to protect against potential breaches.

### *Bondaval*

**Projected Return Profile:** Bondaval portrays the lower risk infrastructure-driven profile in our portfolio, offering a stable 3-5x MOIC over a 5-7 year horizon.

- **Entry Valuation:** $50 million Post-Money (Series A)
- **Target Exit Valuation:** $150-$200 million (Series C)
- **The Math:** Bondaval's microbonds target the $30 trillion global trade credit market. With continued enterprise adoption and expansion into similar credit products, reaching a $25m-$30 million annual revenue by year 5 is realistic. By applying a 5-7x revenue multiple which is discounted from insuretech peers supports a $200 million exit valuation.
- **Exit Strategy:** M&A is primary exit route. Strategic Acquirers such as Allianz are our targets.

**Risk 1: Regulatory and Compliance:** As Bondaval expands its operations beyond the UK and broadens its product offerings it faces the risk of regulatory complexity. Different countries have different insurance and financial-services rules and regulations, privacy laws and compliance requirements. If Bondaval does not comply with these rules, then fines and reputational damage will apply.

**Mitigation:** Our fund will place an experienced regulatory advisor on the Board of Bondaval or its advisory committee. This way, Bondaval gains deep expertise across Insurtech and financial services regulations.

**Risk 2: Technology and Operational risk:** As Bondaval is an Insurtech fintech firm, its competitive advantage comes from its internal technology platform. Heavy reliance on technology increases the risk of platform outages, software bugs, and cyberattacks.

**Mitigation:** We would allocate a part of our investment towards cybersecurity upgrades and infrastructure redundancy. We will also establish routine operational risk inspections to ensure security posture and data governance standards remain above the industry benchmark.

**Risk 3: Credit and Underwriting risk:** Bondaval's model relies heavily on data-driven, granular underwriting to assess receivables and mitigate non-payment risk (Medium, 2024). But if the data that is relied on is incomplete, outdated, or biased, this risk may be underestimated. This may lead to heavy losses for Bondaval, especially if many of its users default simultaneously.

**Mitigation:** We will push Bondaval to diversify and upgrade its data partnerships. In addition, we will establish a risk oversight committee to review Bondaval's in-house models.

## Fund Exit Strategies:

| **Exit Strategy** | **Description** | **Pros** | **Cons** |
|---|---|---|---|
| IPO | Listing the company on a public market to access institutional capital. | Highest potential valuation and liquidity for all shareholders. | High cost and market volatility. Increased scrutiny and regulatory burden. |
| Acquisition (Strategic Buyer) | Sale to a bank, credit institution or fintech | Strong multiples and fast exit | Integration challenges |
| Secondary sale to another fund | Selling our equity stake to a PE/VC without | Faster exit and access to liquidity without needing | Lower valuation compared to acquisitions |

| | | | |
|---|---|---|---|
| | requiring a full company exit. | company level transaction | |
| Merger with another fintech | Combining with another startup to increase scale | Potential for increased valuation and strengthens the competitive position through synergies | Complex negotiations and risk of dilution or integration difficulties |
| Management Buy-out | Management team buys our stake which is funded by lenders or new investors | Aligned incentives and faster process | Lower valuation as financing structure may limit options |

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